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Case Number: 25LBCV01832 Hearing Date: September 24, 2026 Dept: S28

BACKGROUND

On March 8, 2024, Plaintiffs purchased a 2024 Hyundai IONIQ 6, which was manufactured and distributed by Defendant Hyundai Motor America ("Hyundai"). Plaintiffs filed this action on June 24, 2025 alleging violations of the Song Beverly Act.

On April 16, 2026, the Court denied Defendant's Motion to Compel Arbitration.

On June 15, 2026, Defendant filed the instant Motion for Summary Adjudication ("MSA").

On June 16, 2026, Plaintiff filed a First Amended Complaint ("FAC") alleging violations of the Song Beverly Action. Plaintiff's FAC alleges (1) violation of subdivision (d) of Civil Code section 1793.2; (2) violation of subdivision (b) of Civil Code section 1793.2; (3) violation of subdivision (a)(3) of Civil Code section 1793.2; (4) breach of the implied warranty of merchantability (Civil Code sections 1791.2; 1794; 1795.5f); and (5) fraudulent concealment.

On July 20, 2026, Defendant filed a demurrer to the FAC.

On September 4, 2026, Plaintiff filed an opposition to the MSA.

On September 11, 2026, Plaintiff
filed an opposition to the demurrer.

On September 17, 2026, Defendant
filed a reply to Plaintiff's opposition to the demurrer.

No reply to the summary judgment has
been filed or served as of September 21, 2026.

DISCUSSION

I.

Demurrer to FAC

A.

Applicable Law

Code of Civil

Procedure ("CCP") section 430.10 subdivision (e) is grounds for a demurrer when
the complaint fails to state facts sufficient to constitute a cause of action.

CCP § 430.10(f) is grounds for a demurrer when the complaint is uncertain
(vague and ambiguous). For purposes of ruling on a demurrer, material facts
properly pleaded in the complaint must be taken as true. (*Serrano v. Priest*
(1971) 5 Cal.3d 584, 491.)

A demurrer

may challenge only defects that appear on the face of the pleading or from
matters which are judicially noticeable. (*Blank v. Kirwan* (1985) 39

Cal.3d 311, 31; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th
968, 994; California Practice Guide, Civil Procedure Before Trial, ¶7:8 (The
Rutter Group 2024).)

The function

of a demurrer is to test the legal sufficiency of a complaint, but not the
truthfulness of the allegations. (*Donabedian v. Mercury Ins. Co.*, *supra*, 116
Cal.App.4th at 994; *Lewis v. Safeway, Inc.* (2015) 235 Cal.App.4th 385,
388; *SJJCA Aviation Services, LLC v. City of San Jose* (2017) 12
Cal.App.5th 1043, 1051-1052; California Practice Guide, Civil Procedure Before
Trial, ¶7:5 (The Rutter Group 2024).) Demurrers are to be sustained

where a pleading fails to plead adequately any essential element of the cause of action. (Cantu v. Resolution Trust Corp. (1992) 4 Cal.App.4th 857, 879-80.)

“A demurrer

tests the pleadings alone and not the evidence or other extrinsic matters.

Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed (Code Civ. Proc., §§ 430.30, 430.70). The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; Accord McKenney v. Purepac Pharmaceutical Co. (2008) 162 Cal.App.4th 72, 79.) When considering demurrers, courts read the allegations liberally and in context. (McKenney, supra, 167 Cal.App.4th at 77; Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.)

“If the

complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.” (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal.4th 26, 38.)

B.

Meet and Confer

Defendant’s meet and confer

declaration is inadequate. Code of Civil

Procedure section 430.31 requires in person, telephonic or video conference

meet and confer attempts. Defendant’s

declaration merely states that counsel “attempted to meet and confer with Plaintiffs’ Counsel and that parties were unable to resolve the objections raised in the demurrer.” (Demurrer,

Kurtz Dec., ¶2.) Defendant is admonished

to comply with the requirements of section 430.31 in the future or face sanctions.

C.

Parties Positions

Defendant demurs to the fifth cause

of action for fraudulent concealment on several grounds. Defendant argues (1) the fraudulent concealment claim is not alleged with sufficient specificity; (2) insufficient allegations are made establishing Defendant's knowledge of the defect and vague references to non-public data regarding Plaintiffs' battery defect are insufficient; (3) Plaintiffs fail to allege justifiable reliance; (4) Plaintiffs fail to allege facts supporting a duty of disclosure under these circumstances; and (5) Plaintiffs' fraudulent concealment claim is barred by the economic loss rule.

In opposition, Plaintiffs argue a prima facie case is alleged pursuant to *Dhital v. Nissan N. Am., Inc.* (2022) 84 Cal.App.5th 828, 843-33. Plaintiffs argue less specificity is required where concealment is alleged. Plaintiffs argue direct privity is not required to support a duty of disclosure. Plaintiffs argue Defendant had a duty to disclose material facts to immediate and subsequent purchasers because it knew its product would be resold. Plaintiffs argue they have a contractual relationship with Hyundai by virtue of Hyundai's warranty contract. Plaintiffs also argue the economic loss rule does not bar a fraudulent concealment claim per *Dhital*. In the alternative, Plaintiffs ask the Court for leave to amend.

In reply, Defendant reiterates its arguments in its opening brief. Defendant maintains there are no facts supporting a duty to disclose. Defendant argues Plaintiffs are judicially estopped from maintaining that the warranty booklet is a contractual relationship. Defendant argues that, in opposition its prior Motion to Compel Arbitration, Plaintiffs adopted the position that the warranty booklet was not a contract. Defendant argues Plaintiffs cannot adopt the opposition position here. Defendant argues there are no allegations of justifiable or actual reliance. Defendant argues that Rattagan controls and Plaintiffs cannot allege a fraud claim bootstrapped onto a lemon law claim.

C. Fraud is alleged with sufficient specificity

Fraud

based on concealment requires that "(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4)

the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Bigler-Engler v. Breg, Inc.

(2017) 7 Cal.App.5th 276, 310-311.) Less

specificity is required to plead fraud by concealment. (Id.)

“Even under the strict rules of common law pleading, one of the canons

was that less particularity is required when the facts lie more in the

knowledge of the opposite party.” (Alfaro

v. Community Housing Improvement System & Planning Assn., Inc. (2009)

171 Cal.App.4th 1256, 1384.)

There

are “four circumstances in which nondisclosure or concealment may constitute

actionable fraud: (1) when the defendant is in a fiduciary relationship with

the plaintiff; (2) when the defendant had exclusive knowledge of material facts

not known to the plaintiff; (3) when the defendant actively conceals a material

fact from the plaintiff; and (4) when the defendant makes partial

representations but also suppresses some material facts.” (LiMandri v. Judkins (1997) 52

Cal.App.4th 326, 336.) A duty to disclose

in the absence of a fiduciary relationship and in “each of the other three

circumstances in which nondisclosure may be actionable presupposes the

existence of some other relationship between the plaintiff and defendant in

which a duty to disclose can arise.” (Id.

at 336-337 (counsel for debtors could not state a c/a for concealment against

counsel for creditors, because there was no relationship or transaction between

the two attorneys that would give rise to a duty of disclosure).)

Plaintiffs’

claim is for concealment and less specificity is required. (Tenet Healthsystem Desert, Inc. v. Blue

Cross of California (2016) 245 Cal.App.4th 821, 838 (less specificity

required in connection with fraud claim where facts are more within the

knowledge of the opposing party).)

Plaintiffs allege the date of the vehicle purchase and provision of the

warranty agreement. (FAC, ¶¶6-7.) Plaintiff also alleges the information

concealed by Hyundai when it issued its warranty—“that the subject vehicle and

its lithium-ion battery were defective and susceptible to sudden and premature

failure.” (FAC, ¶47.) Plaintiffs

specify the nature of the “Battery Defect.”

(FAC, ¶50.) Plaintiffs allege

Hyundai “was well aware and knew that the lithium-ion battery installed in the subject vehicle was defective but failed to disclose this fact to Plaintiffs at the time of sale and thereafter” and that it acquired that knowledge before Plaintiffs’ purchase from information that was not publicly available. (FAC, ¶¶49, 51.) Plaintiffs allege they would not have leased or purchased the vehicle if they had known of the Battery Defect. (Id. at ¶¶52, 54.) Plaintiffs allege Defendant knowingly and intentionally concealed the material facts.

(Id. at ¶55.) Plaintiffs

allege they reviewed Defendant’s marketing and advertising materials, viewed Hyundai’s vehicle-specific window sticker and took the vehicle for a test drive and Defendant never advised Plaintiffs of the defective lithium-ion battery . (Id. at ¶9.)

Defendant

argues its knowledge of the defect is insufficiently alleged. However, Plaintiff need only allege ultimate facts, not evidentiary facts. (Semole v. Sansoucie (1972) 28 Cal. App.

3d 714, 721.) Defendant’s

knowledge of the battery defect is itself an ultimate fact. (5 Witkin, Cal. Proc. (6th ed. 2023), Plead §723 (discussing fraud)(intent, like knowledge, is a fact and general allegation of intent is sufficient).) Plaintiffs’

bare allegation that Defendant knew of the battery defect at the time of Plaintiffs’ purchase is therefore sufficient.

Plaintiffs

have alleged concealment with sufficient specificity. Defendant’s demurrer to the fifth cause of action for fraudulent concealment based on failure to allege justifiable reliance is overruled.

D. Actual or Justifiable Reliance

Justifiable reliance is a

question of fact that can only be decided as an issue of law where reasonable minds could only come to one conclusion.

(Hoffman v. 162 North Wolfe LLC (2014) 228 Cal.App.4th 1178, 1194.) “Justifiable reliance is

ordinarily a question of fact that is not properly determined on demurrer, but whether a party’s reliance was justified may be decided as a matter of law if

reasonable minds can come to only one conclusion based on the facts.” (Amiodarone Cases (2022) 84 Cal.App.5th 1091, 1111.)

Plaintiffs allege sufficient facts to establish justifiable reliance based on Defendant's affirmative representations made in the warranty booklet, marketing and advertising materials and Hyundai's vehicle-specific window sticker and Defendant's failure to disclose any issues with the battery.

(Id. at ¶155.) The Court cannot find based on the allegations that Plaintiffs' reliance was unjustifiable as a matter of law.

Defendant's demurrer to the fifth cause of action for fraudulent concealment based on failure to allege justifiable reliance is overruled.

E. Duty to Disclose

The degree of "relationship" necessary to support a duty to disclose under *LiMandri* is unclear and evolving. Thus, in *Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, the Court of Appeals found that an employee who used hazardous chemicals purchased by his or her employer could state a claim for fraudulent concealment against the manufacturer or distributor from whom the employer purchased the chemicals. (*Jones*, supra, 198 Cal.App.4th at 1199.) Plaintiffs alleged a duty of disclosure based on (1) defendant Dow's awareness of the toxic nature of their products, (2) Dow's sole knowledge of that fact; and (3) decedent who worked with the product did not have that knowledge available to him. (*Jones*, supra, 198 Cal.App.4th at 1199.)

"Although, typically, a duty to disclose arises when a defendant owes a fiduciary duty to a plaintiff, a duty to disclose may also arise when a defendant possesses or exerts control over material facts not readily available to the plaintiff." (Id.)

The analysis in *Jones* was based on *LiMandri*, which stated that, outside of a fiduciary relationship, a duty to disclose can arise in three other circumstances: when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when

the defendant makes partial representations but also suppresses some material facts. (LiMandri, supra, 52 Cal.App.4th at 336-337.) “These three circumstances, however, presuppose the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise.” (Id.)

The

Court of Appeals in *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276 raised further questions regarding the nature of the “relationship” required under LiMandri to impose a duty of disclosure. *Bigler-Engler* held that such a relationship must be the result of some transaction.

(*Bigler-Engler*, supra, 7 Cal.App.5th at 312.) “Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.”

(Id. (emphasis added).)

The Court reversed a jury verdict on the plaintiff’s intentional concealment claim on grounds that the record did not support a finding of a duty of disclosure. (Id. at 315.)

Relying

on this dicta in *Bigler-Engler*, the Court of Appeals in *Bader v.*

Johnson & Johnson (2022) 86 Cal.App.5th 1094 (“*Bader*”)

distinguished *Bigler-Engler* on grounds that (1) the undisputed evidence demonstrated that the plaintiff’s parents kept defendant’s powder product in the house and that plaintiff used the defendant’s powder and (2) there was also evidence that the defendant manufacturer “was involved in retail sales of JBP to consumers and profited therefrom.” (*Bader*

v. Johnson & Johnson, supra, 86 Cal.App.5th at 1132.) Unlike *Bigler-Engler*, in *Bader* there was therefore evidence of a direct transaction or relationship between the plaintiff and defendant manufacturer and of a defendant’s direct sales to consumers and profit therefrom.

The

lack of clarity caused by *Bigler-Engler* and *Bader* was recently discussed in *Bjoin v. J-M Manufacturing Co., Inc.* (2025) 113 Cal.App.5th 884, 903-904. In *Bjoin*, the

plaintiff was a laborer who allegedly developed lung cancer from cutting defendant manufacturer’s asbestos cement pipe with a power saw. (*Bjoin*, supra, 113 Cal.App.5th at 888.) *Bjoin* rejected the

plaintiff's attempt to expand LiMandri's "relationship" requirement to include his situation and rejected plaintiff's claim that Bigler-Engler and Bader expanded the types of relationships that would support a duty to disclose for purposes of fraudulent concealment. (Id. at 902-903.) Bjoin acknowledged that Bader expanded the basis for a duty to disclose based on Bigler-Engler but simply disagreed with its holding: "We recognize that the Bader court did treat Bigler as expanding the basis for a duty to disclose, but it did so without any analysis and we do not find the adoption persuasive." (Bjoin, supra, 113 Cal.App.5th at 903.) Bjoin also stated that even if Bader and Bigler-Engler had expanded the basis for a duty to disclose to include manufacturers who "directly advertised to consumers such as" the plaintiff or "derived any monetary benefit directly" from plaintiff, the plaintiff failed to identify evidence of either. (Id. at 904 (emphasis added).)

As stated in Bigler-Engler, "a duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as...parties entering into any kind of contractual arrangement." (Id. at 311 (quoting Shin v. Kong (2000) 80 Cal.App.4th 498, 509.) The warranty between Plaintiffs and Defendant is something more than a relationship between Defendant and the public at large.

Defendant's interpretation of the direct dealings necessary to give rise to a duty of disclosure is too narrow. As stated in Bigler-Engler, "a duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as...parties entering into any kind of contractual arrangement." (Id. at 311 (quoting Shin v. Kong (2000) 80 Cal.App.4th 498, 509).) Plaintiffs alleges that Defendant provided them with a warranty for the vehicle. This is a direct dealing between Plaintiffs and Defendant. Plaintiffs' and Defendant's warranty relationship removes Plaintiff from the category of being a member of the public at large, as discussed in Bigler-Engler, supra, 7 Cal.App.5th at 312.

Plaintiffs also argue they sought out and purchased the vehicle based on Defendant's direct advertising to consumers like them, window stickers and other marketing materials. (Id. at ¶55.) Under the standard set forth in Bader, such direct advertisement to consumers combined with Plaintiffs' reliance on

that direct advertisement could satisfy the “some other relationship” requirement under *LiMandri*. (*Bader*, supra, 86 Cal.App.5th at 1132.)

On

reply, Defendant argues Plaintiffs are judicially estopped from asserting that the warranty booklet is an agreement between the parties based on Plaintiffs’ position that it was not an agreement in opposition to the motion to compel arbitration. Judicial estoppel should “quite clearly” be applied in the following situation: when (1) the same party has taken two positions; (2) the positions were taken in judicial or quasi-judicial administrative proceedings; (3) the party was successful in asserting the first position (i.e., the tribunal adopted the position or accepted it as true); (4) the two positions are totally inconsistent; and (5) the first position was not taken as a result of ignorance, fraud, or mistake.” (*Thomas v. Gordon* (2000) 85 Cal.App.4th 113, 118.)

Plaintiffs’

position is not “totally inconsistent” with their position in opposition to the motion to compel arbitration. In opposition to the motion to compel arbitration, Plaintiffs asserted that the warranty booklet was not an agreement to arbitrate. Here, the question is not whether there was a mutually consented to arbitration agreement between the parties sufficient to support an order compelling arbitration. Here, the question is whether there was “some other relationship” between the parties to support imposition of a duty to disclose the “battery defect” to Plaintiffs prior to their purchase of the vehicle. The warranty relationship is sufficient to satisfy the requirement that the parties be in “some other relationship” to support a duty of disclosure.

In

addition, the Second District Court of Appeals found that a warranty booklet containing an arbitration provision qualified as an enforceable arbitration agreement sufficient to support a motion to compel arbitration in *Kostandian v. American Honda Motor Co.* (2026) 120 Cal.App.5th 872, 881 (manufacturer satisfied its burden of establishing existence of applicable arbitration agreement based on arbitration provision contained in warranty booklet and evidence confirming plaintiff’s receipt of warranty booklet). *Kostandian* was issued on April 28, 2026. This Court denied Defendant’s prior motion to compel arbitration on April 16, 2026 on grounds that the vehicle’s owner’s handbook was not an enforceable contract.

Plaintiffs

sufficiently allege facts supporting Defendant's duty to disclose the battery defect. Defendant's demurrer based on failure to allege a duty of disclosure is overruled.

F. Economic Loss Rule

A "demurrer based on an affirmative defense cannot properly be sustained where the action might be barred by the defense, but is not necessarily barred."
(CrossTalk Productions, Inc. v. Jacobson (1998) 65 Cal.App.4th 631, 635.) Defendant demurs to the fraudulent concealment action based on the affirmative defense of the economic loss rule.

Under

the economic loss rule, recovery in negligence is barred for "pure economic losses when such claims would disrupt the parties' private ordering, rendering contracts less reliable as a means of organizing commercial relationships, and stifle the development of contract law."

(Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 915.) The economic loss rule generally bars tort claims for contract breaches, thereby limiting contracting parties to contract damages. (Aas v. Superior Court (2000) 24 Cal.4th 627, 643 ("A person may not ordinarily recover in tort for the breach of duties that merely restate contractual obligations.") As explained in Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, "conduct amounting to a breach of contract becomes tortious only when it also violates a duty independent of the contract arising from principles of tort law." (Robinson Helicopter Co., Inc., supra, 34 Cal.4th at 989.)

The

economic loss rule only applies to preclude tort recovery where the harm is purely financial, unaccompanied by any physical or property damage. "The economic loss rule provides that, in general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage." (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 837 (economic loss rule bars

recovery for negligently inflicted economic losses “unaccompanied by...property damage”); *Erich v. Menezes* (1999) 21 Cal.4th 543, 21 Cal.4th 543, 551 (recognizing long line of cases in which tort damages were allowed for a breach of contract where the conduct resulted in injury to person or property); *Robinson Helicopter Co., Inc.*, supra, 34 Cal.4th at 989-990 (economic loss rule does not bar tort damages where conduct is also a breach of contract where intentional tort is involved, where conduct violates duty independent of contractual duties, or in contract cases where breach of duty directly causes physical injury).)

Defendant

argues the economic loss rule bars Plaintiff’s fraudulent concealment claim. Defendant argues that Plaintiff cannot allege a fraudulent inducement – concealment claim, because there was no damage to physical property or personal injury. Under such circumstances, Defendant argues the economic loss rule limits Plaintiff to a claim for breach of contract and any fraud claim is barred.

In *Dhital*,

the Court of Appeals addressed the precise issue raised by Defendant’s motion for summary adjudication of the fraudulent inducement by concealment cause of action. Like Plaintiff in this action, the plaintiff in *Dhital* alleged “fraudulent inducement – concealment.” (*Dhital*, supra, 84 Cal.App.5th at 834.) The fraud allegations in *Dhital* were essentially identical to Plaintiff’s allegations in the FAC, alleging that Nissan knew of the transmission defect but failed to disclose that information to plaintiff prior to the sale. (*Id.*)

The

Court of Appeals reversed the trial court’s order sustaining demurrer to the fraud claim without leave to amend based on the economic loss rule. (*Id.* at 833.) “Here, the fraudulent inducement exception to the economic loss rule applies. Plaintiffs allege that Nissan, by intentionally concealing facts about the defective transmission, fraudulently induced them to purchase a car.” (*Id.* at 838.) The Court of Appeals explained that the economic loss rule does not apply where “the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm. [¶] In our view the independence is present in the case of fraudulent inducement

(whether it is achieved by intentional concealment or intentional affirmative misrepresentation), because a defendant's conduct in fraudulently inducing someone to enter a contract is separate from the defendant's later breach of the contract or warranty provisions agreed to."

(Id. at 841.)

Dhital's

reasoning applies to Defendant's argument that the economic loss rule bars

Plaintiff's fraudulent inducement – concealment claim. Defendant fails to distinguish Dhital. Instead, Defendant argues Plaintiff's

fraudulent concealment claim fails the test set forth in Rattagan v. Uber

Technologies, Inc. (2024) 17 Cal.5th 1 to determine whether a fraudulent

concealment claim is barred by the economic loss rule. Rattagan is inapposite, because it did

not address fraudulent inducement by concealment that occurred prior to

entering the subject contract. Rattagan

addressed the following question: "Can a

plaintiff assert an independent claim of fraudulent concealment in the

performance of a contract? The answer to

this question is also yes. A plaintiff

may assert a tort claim for fraudulent concealment based on conduct occurring

in the course of a contractual relationship, if the elements of the cause of

action can be established independently of the parties' contractual rights and

obligations and the tortious conduct exposes the plaintiff to a risk of harm

beyond the reasonable contemplation of the parties when they entered into the

agreement." (Rattagan, supra, 17

Cal.5th at 38.)

Plaintiff

is not alleging fraud based on conduct occurring in the course of the parties'

contractual relationship. Plaintiff is

alleging fraudulent inducement – concealment, which is based on conduct prior

to the parties entering into their transactional relationship. The Supreme Court noted in Rattagan

that the issues before it were distinct from those raised in Dhital,

because the tort claims in Rattagan were "based on alleged conduct

committed during the contractual relationship but outside the parties' chosen

rights and obligations." (Id. at

41, fn 12.) Rattagan stated it

was not addressing the issues raised in Dhital. (Id.)

Thus, Plaintiff would not be required to satisfy the requirements set

forth in Rattagan as to its fraudulent inducement – concealment cause of

action to qualify as an exception to the economic loss rule.

Defendant

fails to establish that the fifth cause of action is barred by the economic loss rule. Defendant's demurrer based on the economic loss rule is overruled.

G.

Conclusion

Defendant's

demurrer to the fifth cause of action of the FAC is overruled.

II. Motion for Summary Adjudication of Complaint

A. Defendant's MSA is moot in light of the FAC

"Because there is but one complaint

in a civil action, the filing of an amended complaint moots a motion directed to a prior complaint." (State

Compensation Ins. Fund v. Supr. Ct. (2010) 184 Cal.App.4th 1124, 1131.) "Thus, once an amended complaint

is filed, it is error to grant summary adjudication on a cause of action contained in a previous complaint... Code of Civil Procedure

section 437c, subdivision (f), thus contemplates a 'two-step process—first weighing the sufficiency of the causes of action stated, and then if necessary, determining whether there are triable issues underlying those causes.'" (Id.)

Defendant's

motion for summary adjudication seeks judgment on Plaintiff's fifth cause of action for fraudulent concealment in Plaintiffs' complaint, as well as Plaintiff's request for punitive damages and Plaintiff Nuris Clinkscates' standing. Defendant's motion was filed before Plaintiffs filed their FAC.

Defendant's motion for summary adjudication is therefore technically moot. The pleading to which it was directed is no longer operative. This is particularly

true in light of Defendant's arguments that fifth cause of action alleged in the original complaint is "factually devoid."

(MSA, 4:25-29-5:18.)

Defendant's

motion for summary adjudication is denied as moot due to the filing of the FAC.

B. In addition, Defendant fails to satisfy its

burden as moving party on the motion for summary adjudication of the fifth cause of action and the punitive damages claim

i. Applicable Law

The purpose of a motion for summary judgment or summary adjudication "is to provide courts with a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute." (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843.) "Code of Civil Procedure section 437c, subdivision (c), requires the trial judge to grant summary judgment if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (*Adler v. Manor Healthcare Corp.* (1992) 7 Cal.App.4th 1110, 1119.)

"In ruling on the motion, the court must consider all of the evidence and all of the inferences reasonably drawn therefrom [citation] and must view such evidence [citations] and such inferences [citations] in the light most favorable to the opposing party." (*Aguilar, supra*, at pp. 844-845 [quotation marks omitted].)

"On a motion for summary judgment, the initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact." (*Scalf v. D. B. Log Homes, Inc.* (2005) 128 Cal.App.4th 1510, 1519.) "A defendant or cross-defendant has met his or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action. Once the defendant or cross-defendant has met that burden, the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The plaintiff or cross-complainant shall not

rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.” (Code Civ. Proc. § 437c, subd. (p)(2).)

Unless and until a defendant meets that burden, the plaintiff has no burden to present controverting evidence. (*Consumer Cause, Inc. v. SmileCare* (2001) 91 Cal.App.4th 454, 468 [“There is no obligation on the opposing party . . . to establish anything by affidavit unless and until the moving party has by affidavit stated facts establishing every element . . . necessary to sustain a judgment in his favor.”].) If a defendant fails to meet that burden, summary judgment must be denied, even if the plaintiff fails to file an opposition and fails to proffer any evidence.

On the other hand, if the defendant “has met that burden, the burden shifts to the plaintiff . . . to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (Code Civ. Proc., § 437c, subd. (p)(2).) The plaintiff may not merely rely on allegations or denials in its pleadings to show that a triable issue of material fact exists, but instead “shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action.” (*Id.*) To establish a triable issue of material fact, the party opposing the motion must produce substantial responsive evidence. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 166.) “If the plaintiff cannot do so, summary judgment should be granted.” (*Avivi v. Centro Medico Urgente Medical Center* (2008) 159 Cal.App.4th 463, 467.)

ii. Defendant fails to satisfy its burden as moving party as to the fifth cause of action based on lack of evidence

Lack of evidence. Defendant moves for summary adjudication of the fifth cause of action on grounds that Plaintiffs have not provided evidence and no evidence exists to support each of the elements of the fraudulent concealment claim. Defendant also argues there is no basis to impose a duty of disclosure on it, because it was not a party to the sales transaction.

As

the moving party, Defendants have the initial burden of either presenting evidence affirmatively rebutting Plaintiff's allegations or evidence that Plaintiff lacks evidence on an essential element of the claim. (Union Bank v. Supr. Ct. (1995) 31 Cal.App.4th 574, 590. For this reason, a defendant does not meet its burden under CCP §437(c)(o)(1) by merely "pointing out" or "arguing" that the plaintiff does not possess or cannot reasonably obtain necessary evidence. (Id.; Lona v. Citibank, N.A. (2011) 202 Cal.App.4th 89 (defendant bank did not meet its burden on summary judgment of wrongful foreclosure by merely arguing that plaintiff lacked evidence to support her claim and only documentary evidence submitted were the loan documents); Gaggero v. Yura (2003) 108 Cal.App.4th 884, 890 (defendant did not establish plaintiff's lack of evidence or inability to reasonably obtain evidence of plaintiff's ability and willingness to perform by pointing to plaintiff's refusal to answer certain questions during deposition on grounds of a meritless privacy objection; such a refusal, regardless of its merit, was neither an admission nor a factually devoid discovery response).)

A

defendant may rely upon a plaintiff's factually devoid responses to establish that plaintiff does not possess and cannot reasonably obtain necessary evidence. (Union Bank, supra, 31 Cal.App.4th at 590.) "Circumstantial evidence supporting a defendant's summary judgment motion can consist of factually devoid discovery responses from which an absence of evidence can be inferred, but the burden should not shift without stringent review of the direct, circumstantial and inferential evidence." (Andrews v. Foster Wheeler LLC (2006) 138 Cal.App.4th 96, 101.)

In Union

Bank, plaintiff sued defendants for various fraud claims. Defendants moved for summary judgment based on plaintiff's responses to three RFAs and the accompanying Form Rog 17.1. Plaintiff refused to admit that defendants (i) did not commit fraud against Plaintiff or (ii) that Defendants did not conspire to defraud Plaintiff. (Id. at 578.) In connection with Form Rog 17.1 plaintiff could cite to no evidence or facts supporting their refusal to admit either of these facts. (Id.) Compounding the damaging effect of these factually devoid responses was plaintiff's admission that defendant "took no

inappropriate action in connection with its role in the transactions.” (Id.)

The combination of these facts sufficiently met defendant’s moving burden. (Id. at 592.) Due to plaintiff’s admission that defendants did not engage in any “inappropriate action,” plaintiff failed to raise a triable issue of fact based on evidence that potentially raised a reasonable inference of fraud. (Id. at 593.)

Defendant

submits evidence that it was not a party to the sales transaction. (Defendant’s Table of Contents, Kurtz Dec., ¶15; Goel Dec., ¶17.) Plaintiffs do not allege that Defendant was a party to the sales transaction. Defendant’s evidence that it was not a party to the sales transaction is therefore immaterial. As discussed in connection with Defendant’s demurrer to the FAC, Defendant’s alleged duty of disclosure based on the parties’ warranty agreement, Defendant’s advertisements that Plaintiffs relied upon to purchase the vehicle and Defendant’s superior and exclusive knowledge of the Battery Defect. In combination, Plaintiffs allege a duty of disclosure based on these facts and their relationship to Defendant is distinct from that of Defendant’s relationship to the public at large. (Bigler-Engler, supra, 7 Cal.App.5th at 312 (transaction sufficient to support duty of disclosure must involve “direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large”).) The declarations of Kurtz and Goel do not negate any of these material allegations.

Defendant

also states that Plaintiffs have no evidence that it “intentionally concealed a ‘battery defect’ in their 2024 Hyundai Ioniq 6” and “that it did not public or privately disclose any information about alleged battery defects.” (Defendant’s SSUMF Nos. 7 and 8.) In support of these material facts, Defendant only cites generally to the entirety of Kurtz’s declaration and the original complaint. (Id. at Nos. 7-11.)

Again,

the original complaint has been superseded and its purported insufficiency cannot be relied upon to satisfy Defendant’s evidentiary burden. Kurtz does not attest to Plaintiffs’ failure to produce evidence in response to discovery, any factually devoid discovery responses or any circumstances that would indicate Plaintiffs’ inability to reasonably obtain evidence of these allegations. Defendant therefore fails to satisfy its

burden as moving party based on Plaintiffs' inability to establish the essential elements of their claim.

Economic

loss rule. Defendant

also moves for adjudication of the fifth cause of action based on the economic loss rule. As discussed in connection with Defendant's demurrer to the FAC, the Court finds the economic loss rule does not bar Plaintiffs' fraudulent concealment claim.

iii. Defendant fails to satisfy its burden as moving party on the punitive damages claim

Defendant moves for summary

adjudication of the punitive damages claim on grounds that Plaintiffs have not provided any evidence of ratification by Hyundai of the fraud. Defendant moves for summary adjudication of the punitive damages claim because it is based on the fraud claim, which fails as a matter of law.

As with the fraudulent concealment

cause of action, Defendant relies entirely on the superseded original complaint and Kurtz's declaration. For the same reasons stated in connection with the fraudulent concealment claim, neither of these documents establishes that Defendant did not ratify the alleged fraudulent conduct, nor do they negate Plaintiffs' allegations of fraudulent concealment. The fraud claim also survives the motion for summary adjudication and is not grounds to grant adjudication of the punitive damages claim.

C. While Defendant satisfies its burden as moving party on the claims brought by Nuris Clinkscapes, she raises a triable issue of material fact

Defendant moves for summary

adjudication of all claims brought by Nuris Clinkscapes, because she lacks standing. Defendant argues Nuris Clinkscapes did not purchase the vehicle and did not suffer any harm.

Defendant satisfies its burden on the issue of Nuris Clinkscapes' standing.

Defendant submits a copy of the Purchase Agreement, which is only signed by Keith Clinkscals. (Defendant's Table of Contents, Kurtz Dec., Ex. B; Goel Dec., Ex. B.)

In response, Plaintiffs submit evidence that Plaintiffs are husband and wife and the vehicle was purchased during marriage with community funds. (Duane Dec., Ex. E, 7:24; K. Clinkscals Dec., ¶¶3-4.) Plaintiffs therefore establish Nuris's present, existing and equal ownership of the vehicle pursuant to Family Code sections 751 and 760. (Fam. Code, §§ 751 ("respective interests of each spouse in community property during continuance of the marriage relation are present, existing, and equal interests") and 760.) Plaintiff Nuris Clinkscals therefore raises a triable issue of fact as to her standing to sue for violations of the Song Beverly Act and breach of warranty. Defendant's motion for summary adjudication of the complaint as to Plaintiff Nuris Clinkscals is denied.

D. Evidentiary Objections

Plaintiffs' Objections—Sustain as to Objection Nos. 1, 4, 5, 6.

E. Request for Judicial Notice

Plaintiffs' Request for Judicial Notice is denied. Documents issued by Hyundai do not qualify as records judicially noticeable under Evidence Code section 452 subdivisions (c) and (h).

G. Conclusion

Defendant's Motion for Summary Adjudication of the Complaint is denied. The motion is moot due to the FAC filed on June 16, 2026. The motion is also denied as to the fifth cause of action for fraudulent concealment and punitive damages based on Defendant's failure to establish Plaintiff's lack of evidence on an essential element of either claim. The motion is denied as to Nuris Clinkscals' claims because triable issues of fact remain as to her standing to sue.

CONCLUSION

Defendant's

Demurrer to the Fifth Cause of Action of the FAC is overruled. Defendant to answer in 20 days.

Defendant's

Motion for Summary Adjudication of the Complaint is denied.